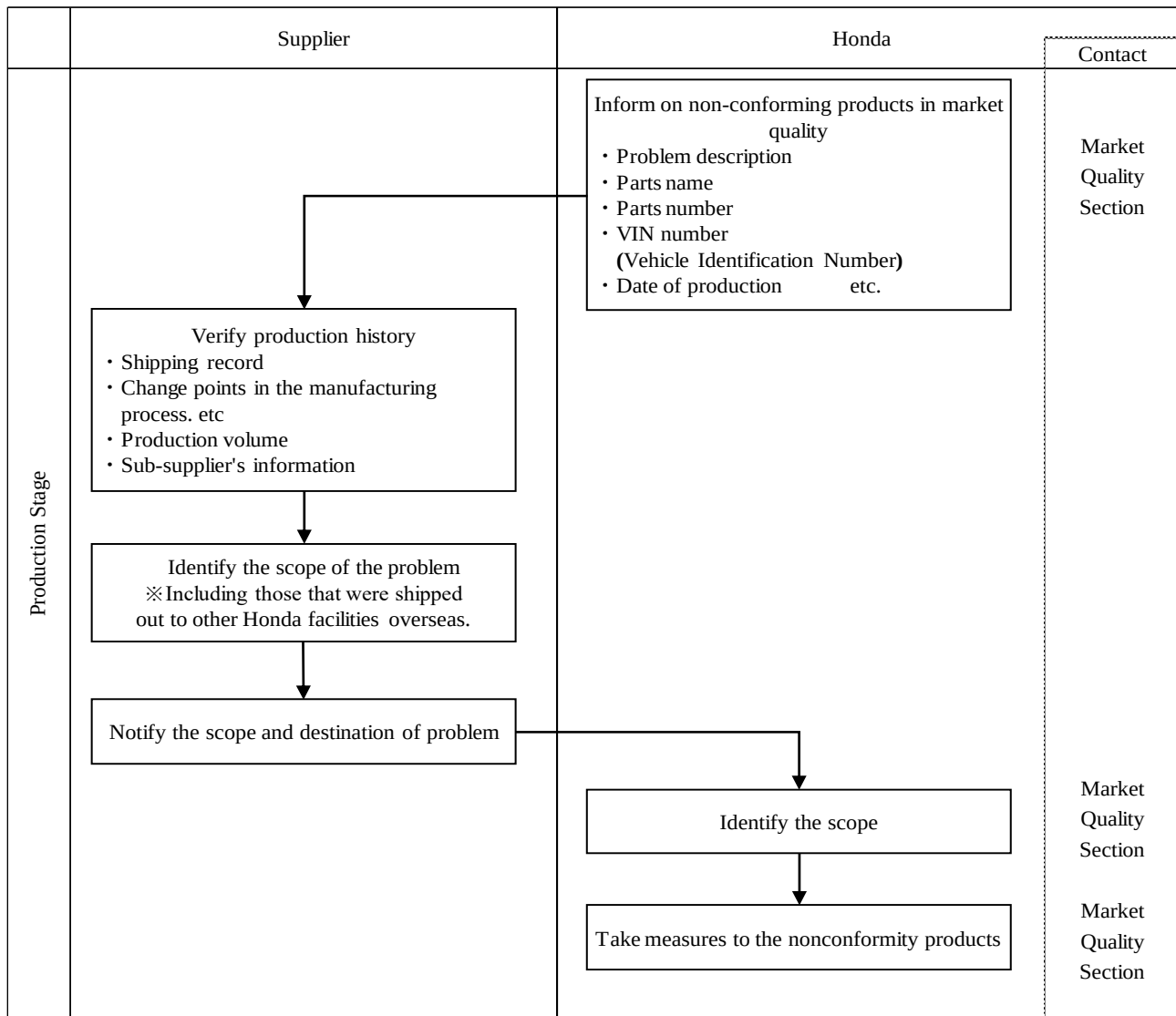


Procedures for treatment of market non-conforming products

Process 1	Reduction of market quality nonconformities	Personnel resource	No designation				
		Material resource	Call-in product				
			Electronic data distributed by Honda				
INPUT							
The suppliers shall implement the followings in order to reduce market quality nonconformities in their products.							
a) Review and monitor their own market quality information via electronic data distributed by Honda							
b) Analyze market quality information							
c) Request Honda for additional call-in products, if necessary							
<u>In addition to the above, the suppliers who deliver to the following Honda manufacturing location shall meet the location-specific requirements.</u>							
<table><tr><td>Honda manufacturing location</td><td>Location-specific requirements</td></tr><tr><td><u>Honda Cars India Ltd. (HCIL)</u></td><td><u>If the suppliers have any objections to the market quality information, it shall be contacted to Honda within 15 days of receipt of the information.</u></td></tr></table>				Honda manufacturing location	Location-specific requirements	<u>Honda Cars India Ltd. (HCIL)</u>	<u>If the suppliers have any objections to the market quality information, it shall be contacted to Honda within 15 days of receipt of the information.</u>
Honda manufacturing location	Location-specific requirements						
<u>Honda Cars India Ltd. (HCIL)</u>	<u>If the suppliers have any objections to the market quality information, it shall be contacted to Honda within 15 days of receipt of the information.</u>						
If received call-in products from Honda, the suppliers shall implement the followings.							
d) Report the results of investigation, analysis to Honda							
e) Adequate control and storage of recovered products (parts), related information							
f) Confirmation of the disposal method with the source of recovered products and disposal of the recovered products at any of the following times							
- After reporting the results of the investigation and analysis to Honda							
- After conclusion of agreements on warranty claim							
g) <u>Disposal of recovered products (parts) according to the instructions of the source of recovered products (parts) (ex. Return to Honda, disposal, etc.)</u>							
h) <u>Record of the recovered products disposal results</u>							
i) <u>Submission of disposal records to Honda, if required by Honda</u>							
Note							
Honda may, upon consultation with the suppliers, charge for transportation and other costs incurred in connection with recovery of the products.							
Process 2	Corrective actions for nonconforming market quality products	Personnel resource	No designation				
		Material resource	Call-in product				
INPUT							
The suppliers shall implement the followings if Honda issues “Market Quality Information [Analysis / Countermeasure Request]”.							
a) Obtain call-in products and related information from Honda							
b) Analyze the cause of nonconformity and respond to Honda with the analysis results by the response due date.							
c) If the cause of nonconformity is the supplier, implementation of countermeasures							
d) If the cause of nonconformity is the sub-supplier, require the sub-supplier to take measures and corrective actions (See SQM6.2 Sub-Supplier Management)							
e) Submission of “Analysis Record [Analysis Report]” (including photographs, data, etc. attachments, if necessary) by the date specified by Honda							
f) If response due date specified by Honda cannot be met, issue an interim report including reasons for the delay and any matters identified within the deadline							
When identifying the subject parts at the time of nonconformity occurrence, all manufacturing lots including ones shipped to overseas facilities shall be included in the scope.							
In addition, the problem-solving methods used in preparing the analysis report shall follow “Procedures for 5 Principals for Problem Solving”.							
Process 3	Control after corrective action	Personnel resource	No designation				
		Material resource	No designation				
INPUT							
After corrective action for market quality nonconforming product, the supplier shall implement the followings.							
a) Implement IPP control (Quality improvement IPP) for the initial product to which the corrective action was taken (see SQM 5.5 Change Point Control)							
b) Prevention of recurrence and preventive actions by feeding back the results of corrective actions to new models and the problem-causing source							

Flowchart: Procedures for identifying the scope of action when nonconformities occur



Flowchart: Treatment of market quality information

